

**White House Watch** **US politics & policy**

## Federal Reserve minutes reveal deep divide over December rate cut

Also in today's newsletter, remarkable revelations at James Comey's hearing



Minutes of the Fed's October meeting showed 'strongly differing views' among policymakers on the need for a third interest rate cut this year © Reuters

**Stefania Palma** in Washington

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Good morning and welcome to White House Watch. The most recent meeting of the Federal Reserve's policymakers has unveiled a schism on the direction of monetary policy at a delicate time for the US economy. Also in today's newsletter:

Donald Trump's lavish welcome for Saudi Arabia's crown prince

Lawrence Summers resigns from OpenAI board over Jeffrey Epstein emails

A tense court day in James Comey's case

A record of the most recent meeting of the Fed's policy-setting committee released yesterday showed [deep divisions](#) among its members, highlighting a growing schism over the level of US borrowing costs.

Minutes of the Fed's October meeting showed "strongly differing views" among members of the committee on the need for a third interest rate cut this year.

"In discussing the near-term course of monetary policy, participants expressed strongly differing views about what policy decision would most likely be appropriate at the committee's December meeting," said the Federal Open Market Committee minutes.

The minutes speak to the difference of views among Fed policymakers on the pace and scale of rate cuts this year, as inflation increases and the labour market weakens.

The FOMC opted in October to lower rates by 0.25 percentage points for the second time this year. But the vote saw a rare three-way split, with Stephen Miran, an ally of President Donald Trump, backing a half-point cut, while Kansas City Fed president Jeff Schmid called for rates to be held steady.

The Fed is set to face further difficulty in making its decision after the Bureau of Labor Statistics said yesterday that it would not release a jobs report for October. It did, however, release the previous month's report, which showed that 119,000 jobs were created in September in a surprise rebound and the unemployment rate rose to 4.4 per cent, its highest level in four years.

Things have been further complicated by the recent government shutdown, prompting some policymakers to call for a more cautious approach until a clearer picture emerges.

Doubts had already been growing on Wall Street about whether the Fed would continue to reduce borrowing costs at its next meeting.

The probability of another quarter-point cut in December had fallen from a near certainty to about 30 per cent over the past month, according to CME Group data, as several senior Fed officials voiced their opposition to such a move.

*Join us in December for the ninth edition of The Global Boardroom, the Financial Times' award-winning digital conference. The event will bring together more than 100 leaders in business, policy and finance including Bank of England Governor Andrew Bailey and Qualcomm CFO Akash Palkhiwala for three days of in-depth analysis and discussion. [Register here](#).*

## The latest headlines

The fallout from the release of files linked to the late sex offender Jeffrey Epstein continues. Lawrence Summers, former US Treasury secretary, [has stepped down](#) from the board of OpenAI after emails revealed he solicited advice from Epstein on pursuing a relationship with a female mentee.

Trump's Oval Office welcome for Saudi Arabia's Crown Prince Mohammed bin Salman this week was [all fanfare](#). The US president arranged a 21-gun salute, a sprawling Marine Corps band and a fighter jet fly-past. He also threatened American journalists who might offend his guest.

As Trump rolled out a lavish welcome for the Saudi crown prince, rare earths group MP Materials said it was [partnering](#) with the US military and Saudi Arabia's state mining company to build a processing facility in the Gulf kingdom.

The Trump administration and Russian officials have drawn up a [sweeping new proposal](#) to end Russia's war in Ukraine. The plan, which is still at a framework stage, would include major concessions by Kyiv.

# What we're hearing

I made my way to Alexandria, Virginia, yesterday for a hearing in the federal case against former FBI director James Comey, who is accused of lying to and obstructing Congress.

The court heard oral arguments for a motion to dismiss filed by Comey, who alleges that the government is pursuing a “vindictive prosecution” against him — accusations that federal prosecutors reject. Comey has pleaded not guilty.

This is one of three criminal cases filed in recent weeks by the US Department of Justice against Donald Trump’s perceived opponents, after he asked that legal action be taken against them.

These cases, critics argue, risk undermining the independence of the DoJ and the country’s separation of powers. But the justice department rejects accusations of political interference.

Things in Virginia grew quite tense when Michael Nachmanoff, the federal judge presiding over Comey’s case, pressed DoJ lawyer Nathaniel Lemons on exactly how the government had obtained the indictment against the ex-FBI director.

The case is based on a second version of the indictment that was crafted after the grand jury declined to back one of the three charges originally presented to the panel.

Grand jurors must vote to grant indictments. But when asked if the second indictment had never been shown to the entire grand jury, Lemons told Nachmanoff: “Yes, that’s my understanding”. Only the foreperson officially approved the final document, he added.

In another stunning moment during the hearing, Nachmanoff asked Lindsey Halligan, the US attorney who brought the case, to take the podium and answer his questions. She confirmed that the full grand jury did not see the revised — and final — indictment.

These remarkable revelations could scupper the entire case — a notion that Michael Dreeben, a lawyer representing Comey, seized upon immediately in court.

Comey has filed a separate motion to dismiss that challenges the legality of Halligan's appointment, which came mere days before he was charged. She was appointed after her predecessor refused to bring this case — and after Trump, in a social media post, urged US attorney-general Pam Bondi to give Halligan the job.

Judges in Virginia have now heard oral arguments for both these motions. Their upcoming rulings could make or break one of the most high-profile criminal cases of Trump's second presidency.

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Stefania Palma